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PORTFOLIO PERSPECTIVES — OCTOBER 2026

The price of money.

Why higher real rates change what we pay for earnings, and what would change our view.

Anshul Sharma
Chief Investment Officer, Savvy Wealth

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Core driver

The price of money went up. September's rise in Treasury yields was almost entirely a rise in real yields, while inflation expectations barely moved. That raises the bar every asset has to clear, without changing whether the earnings arrive.

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What changed this month

No trades this month.

The framework holds.

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Where we stand

ASSET CLASSES

- ▲ Slight overweight Equities
- ▼ Underweight Fixed income
- ▲ Slight overweight Alternatives (commodities and gold)

SECTORS

- ▲ Overweight Technology
- ▲ Overweight Utilities



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◎ The numbers

-0.07pp

What stocks pay over a 10-year Treasury, now slightly below zero

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3.6 hikes

Quarter-point hikes priced through December 2027, more than in mid-September

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3.7%

Current-quarter growth nowcast, still well above trend

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Question of the month

“Will higher real rates end the party for stocks?”

Not on their own. Higher real rates change what we pay for earnings. Credit is what would end the party.

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What we're watching

- Real yields keep climbing
- Credit stress spreads beyond high yield
- Japan defends the yen again
- Inflation forces the Fed’s hand in October
- Earnings revisions roll over

Read the full October Portfolio Perspectives →

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